

The Hidden Ribis Questions Behind Your Mortgage

Why Hashgacha on Mortgage Brokers Matters

For many homebuyers, obtaining a mortgage is one of the largest financial transactions they will ever undertake.

Yet while borrowers often focus on the interest rate, closing costs, and monthly payment, many may overlook another important issue: potential ribis concerns in the mortgage transaction.

The Potential Ribis Issues

1. The lender may have Jewish ownership or partnership

A borrower may assume that he is simply borrowing from a large bank or mortgage company and that there is no halachic concern. However, determining whether a financial institution has Jewish ownership or a Jewish partnership can sometimes be complicated.

A company may be privately owned, publicly traded, controlled through another corporation, or have various investors or ownership interests. Even when a borrower understands that Jewish ownership may be relevant, he may not know what level or type of ownership creates a halachic concern.

Determining whether a particular ownership structure constitutes a halachically significant Jewish partnership may require detailed research and appropriate halachic guidance. This is one reason why simply asking whether a bank has “Jewish owners” may not be enough to determine whether the lender is permissible from a halachic perspective.

Furthermore, the time and money one needs to spend researching ownership is also unclear and may vary by circumstance.

2. The mortgage broker may initially fund the loan

In some transactions, a Jewish mortgage broker or lender may initially advance its own funds to the borrower and then sell the loan shortly afterward to a non-Jewish financial institution.

From a halachic perspective, the fact that the loan is quickly sold does not eliminate the concern regarding the initial transaction. The broker may have effectively been the lender at the time the loan was originated.

If such a structure is being used, the transaction may therefore require a properly structured and halachically acceptable heter iska.

3. The loan may later be sold to a problematic lender or investor

Even when the original lender is not Jewish-owned, mortgage loans are frequently sold after origination. The ultimate owner of the loan may therefore be different from the institution that originally closed the mortgage.

Another bank, investment group, fund, or other entity with Jewish ownership or participation could purchase the loan.

For this reason, checking only the original lender may not always be sufficient. Where possible, the broker should have procedures in place to determine whether the loan is expected to be sold to another institution that could create a halachic concern.

4. Not every heter iska is necessarily sufficient

Another misconception is that simply having a document called a “heter iska” automatically resolves the issue.

Many different forms of heter iskas are in use today, and they are not necessarily identical in their halachic structure. Some may be considered unacceptable in every situation, some may be unacceptable for a particular transaction, and a halachic authority may view others as weaker or less appropriate than preferred alternatives. Even when it's a good Heter Iska, if it's not signed and added properly to the loan documents, it may still be deemed no good depending on the circumstances.

Accordingly, when a heter iska is required, it is important that a qualified halachic authority review and approve the specific heter iska being used for the transaction in question.

5. A Jewish co-signer can create an additional issue

Many borrowers are unaware of another issue.

Even when the actual lender is entirely non-Jewish, there can be a halachic concern when a Jewish person agrees to serve as a co-signer or guarantor for a Jew on an interest-bearing loan.

A proper heter iska may therefore be necessary between the borrower and the Jewish co-signer or guarantor, depending on the transaction structure.

This issue can easily be overlooked because the borrower may correctly determine that the bank itself is not Jewish-owned, while failing to consider the guarantor's separate halachic status.



6. Taking a mortgage in someone else's name

In some situations, a person may be unable to qualify for a mortgage in his own name and may therefore arrange for another individual to take out the mortgage on his behalf.

This structure can present a particularly serious ribis concern.

According to the approach of leading poskim, the transaction may be viewed halachically as though the individual whose name appears on the mortgage borrowed the money from the bank and then lent those funds with interest to the actual home purchaser.

This constitutes a loan between two Jews with interest—even if the person whose name appears on the mortgage does not personally make any profit from the arrangement.

Because of these complexities, the concept of hashgacha on a mortgage broker was developed.

How does Hashgacha address these issues?

The idea is straightforward: instead of expecting every individual borrower to independently research lender ownership, understand the secondary mortgage market, review heter iska documents, and identify potential ribis concerns, the mortgage broker agrees in advance to operate under established halachic guidelines.

The hashgacha gives the borrower an additional level of oversight and confidence that the broker has procedures designed to identify and address potential ribis concerns.

It is important to understand the limits of such oversight. A hashgacha cannot necessarily control every event that may occur after a loan closes, particularly developments involving the future sale or transfer of a loan that may be outside the broker's control.

The objective is therefore to minimize potential ribis issues through careful oversight and established procedures, rather than to guarantee every conceivable future circumstance.

What Does an Approved Mortgage Broker Commit To?

A mortgage broker seeking hashgacha must commit to a defined set of guidelines. Among the principal requirements are the following:

1. Approved lenders

The hashgacha must review and approve all lenders the broker uses, based on available research and appropriate halachic considerations, so there is no need to assume they have problematic Jewish ownership or partnership.

2. Approved heter iska arrangements

Whenever a transaction requires a heter iska, the heter iska being used must be reviewed and certified as halachically acceptable.

This is particularly important when the mortgage broker itself initially advances the funds and subsequently sells the loan to another institution. In such a case, the heter iska used by the broker must specifically address that structure.

3. Monitoring the sale of loans

The broker must make reasonable efforts, based on the information available to it, to determine that loans will not be sold to lenders or investment entities that have been identified as problematic.

Because mortgages are frequently transferred in the secondary market, this is an important component of the oversight.

4. Co-signers and guarantors

Whenever a Jewish co-signer or guarantor is required, the borrower must be informed that a heter iska may be necessary to address the halachic concerns associated with the guarantee.

5. Mortgages taken in someone else's name

If a mortgage is being taken out under another person's name for the benefit of the actual purchaser, the broker must inform the parties that the arrangement requires appropriate halachic review and, where applicable, a properly structured heter iska.

A Practical Safeguard for Borrowers

The modern mortgage industry is complex. A mortgage that appears to be a straightforward transaction between a borrower and a non-Jewish bank may involve a broker, an initial funding source, a secondary purchaser, an investment fund, a guarantor, and multiple transfers of ownership.

For a borrower seeking to avoid ribis concerns, understanding all of these layers can be extremely difficult.

A hashgacha on the mortgage broker is intended to provide an additional safeguard by requiring the broker to follow established halachic procedures and by bringing professional mortgage expertise together with appropriate halachic oversight.

Ultimately, borrowers should consult with a qualified halachic authority regarding their individual circumstances. However, having a mortgage broker operate under formal hashgacha can significantly reduce the burden on the individual borrower and help ensure potential ribis issues are identified before the mortgage closes, rather than after the fact.